National Qualifications 2016

X710/75/11 Business Management

FRIDAY, 27 MAY
9:00 AM – 10:30 AM

Total marks — 70

SECTION 1 — 30 marks

Attempt BOTH questions.

SECTION 2 — 40 marks

Attempt ALL questions.

Write your answers clearly in the answer booklet provided. In the answer booklet you must clearly identify the question number you are attempting.

Use **blue** or **black** ink.

You may use a calculator.

Before leaving the examination room you must give your answer booklet to the Invigilator; if you do not, you may lose all the marks for this paper.

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X7107511

MARKS

SECTION 1 — 30 marks

Attempt BOTH questions

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MARKS

WHO MADE YOUR PANTS?

Who Made Your Pants? is an ethical business that was launched in 2008 by Becky John because she really didn't like wearing clothes that were made in sweatshop conditions. The company makes underwear using traditional fabrics, like lycra and lace, which are bought from big underwear companies. These fabrics are unwanted materials which are normally thrown out as waste at the end of a season.

In 2014, Becky won Social Entrepreneur of the Year for her business that creates manufacturing jobs for women who have been excluded due to their status as refugees. She employs 8 women with refugee backgrounds from countries such as Sudan, Somalia and Afghanistan.

The company provides training and every new recruit starts by working on one style of underwear and then moves onto the more complicated styles. The pants are handmade and each woman has a specialist job like cutting, sewing or trimming so there will always be more than one person involved in the making of each piece of underwear. All profits the company makes go back into the business.

You should note that although the following questions are based on the case study above, you will need to make use of knowledge and understanding you have gained whilst studying the Course.

2. (a) (i) From the case study, identify **one** way that Who Made Your Pants is ethical in its production. **1**

(ii) Justify the importance of ethical production. **3**

(b) Who Made Your Pants sells its products online.

Explain the benefits of online selling (e-commerce). **3**

(c) (i) Identify **one** type of training used by Who Made Your Pants. **1**

(ii) Describe an advantage of the type of training identified in (c)(i). **1**

(d) Describe the methods of selection that could be used by Who Made Your Pants. **3**

(e) Describe the methods that Who Made Your Pants could use to ensure the quality of its underwear. **3**

[Turn over

MARKS

SECTION 2 — 40 marks
Attempt ALL questions

3. (a) Internal factors can influence performance.

(i) Identify **2** internal factors. **2**

(ii) Explain the influence of the factors identified in (a)(i). **2**

(b) Outline the objectives of a non-profit-making organisation. **2**

(c) Discuss the advantages and disadvantages of operating as a sole trader. **4**

4. (a) Outline the ways an organisation could use the following technology in the recruitment and selection process.

(i) Word processing package **1**

(ii) Database package **1**

(iii) Company website **1**

(b) (i) Identify **2** methods of industrial action. **2**

(ii) Explain the impact of industrial action. **3**

(c) Outline the impact of technology on working practices. **2**

MARKS

5. Cash Budget for Green Energy Solutions Ltd

	£ May	£ June	£ July
OPENING BALANCE	20,000	(3,000)	(2,000)
RECEIPTS			
Sales Revenue	2,000	8,000	13,000
TOTAL	22,000	5,000	11,000
PAYMENTS			
Purchases	1,000	2,000	3,500
Wages	3,000	4,000	4,000
Advertising	1,000	1,000	1,000
Purchase of Motor Van	20,000	0	0
TOTAL	25,000	7,000	8,500
CLOSING BALANCE	**(3,000)**	**(2,000)**	**2,500**

(a) (i) From the cash budget, identify **2** cash flow problems. **2**

(ii) Describe how the problems identified in part (a)(i) could be solved. **4**

(b) From the cash budget, identify an example of:

(i) a fixed cost; **1**

(ii) a variable cost. **1**

(c) Outline the purposes of producing an income statement. **2**

6. (a) Describe the methods of production. **3**

(b) Outline the factors an organisation might consider when choosing a supplier. **3**

(c) Explain the possible problems of:

- under-stocking;
- over-stocking. **4**

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ACKNOWLEDGEMENT

Question 2 – Logo and information are adapted from www.whomadeyourpants.co.uk.

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